Based on the conditions for profitability, we can categorise price movements as up, down, or sideways. When the price rise is enough to profit the call buyers, we call it an upward movement. When the price decline is enough to profit put buyers, we call it a downward movement.

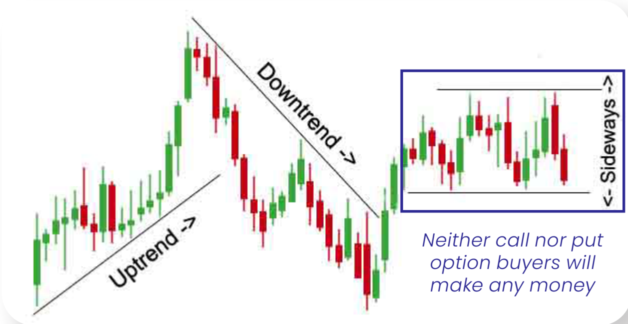


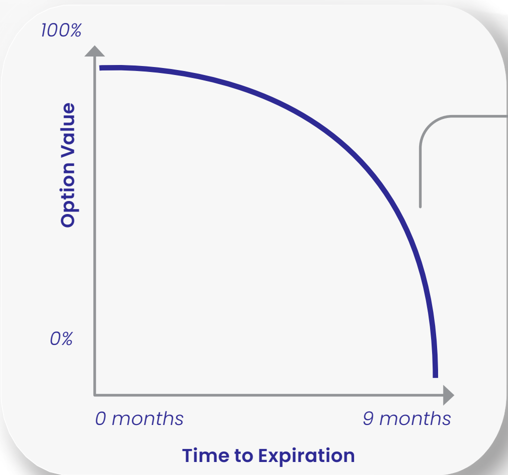
Image Source: https://wire.insiderfinance.io/basic-technical-analysis-for-stocks-8ed54f9c9cc4

However, what if the price change is so small that neither put nor call buyers can incur a profit? We call it a sideways movement.

1.4. Role of Momentum

In option trading, momentum plays an integral role. It refers to the speed with which the prices of the stocks change. Option trading picks up when a stock's price has momentum.

If the stock price movement is likely sideways, neither call nor put option buyers will make any money. With time, the trading price of the options will decline if the market is only going sideways. You can explain this phenomenon by something called theta decay.



Theta decay is the loss in the value of options with time. All options inevitably lose value with time. It is one of the few certainties in trading.